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I've been trading for a living for 18 years.

Here are key things I've learned along the way, I wish I knew earlier.

A thread 

1. Trading isn't about more knowledge

Most new traders try to learn as much as they can.
This isn't necessary.

Trading is getting good at 1 or 2 strategies, trading them over & over.

This requires discipline & persistence, NOT more knowledge.

...

- Consider what style of trader you want to be
- What time frame you like trading
- Study charts or someone who does what you want to do
- Make it your OWN based on your own tendencies/desires

Learn as much as you need to find this, then dig into ONLY that till profitable.

2. Fix mistakes instead of learning new strategies

Most people hit a rough patch and try to learn something new. This creates a very long road to profitability. The same mistakes will likely be repeated with EVERY strategy.

Instead, study why losing and winning trades occur...

Look at:

- conditions present at the time of those trades

- whether the mistake was mental or market-based

- if biases cause "hopeful" trades or missed opportunities

- If getting in slightly later or earlier would improve results

How to Make Fewer Trading Mistakes

Deviations from our Trading Plan are a mistake. Without a Trading Plan, every trade's a mistake. A strategy provides our income potential; mistakes reduce our income.

Until you track your mistakes, you don't know how much income you're missing out on. Once we know what our mistakes are costing us, and how many we're making, we start reducing them.

Track Your Trading Mistakes

Most people know they make trading mistakes, but they don't know how much those mistakes cost. In most cases, traders VASTLY underestimate how many mistakes they make in a month.

Track the dollar value of every mistake for a month. This exercise is often enough to get rid of many mistakes on its own. When you see you could make \$500, \$7,300, or \$28,000 **more** per month than you do, that's usually quite an incentive to follow the Trading Plan. Track and add up the numbers; make yourself sick with it. That'll inspire some change.

Strive for Improvement 1 Mistake at a Time

1. Track the dollar amount of your mistakes, and what each mistake was.
2. Note your most common mistake. Maybe 50% of your mistakes are all the same.
3. Each day work on improving only that 1 mistake. Discuss it in your pre-trade routine. Brainstorm ways to reduce it. Remind yourself of it, and your ways to handle it, while trading.
4. Track progress. If you're making a mistake 5 times/week, and get it down to 3 or 4, that's great! More \$\$ in your pocket. Keep working. The next week may be 3, the next week is 2 mistakes. Incremental progress. That's why trading takes many months to get good at.
5. Once you have a good handle on a problem, move onto your next biggest mistake. Work on it. The same process as before. Strive to improve a little each week or month. Track progress.

Types of Mistakes

Most people think of a trading mistake as missing a trade or taking one they shouldn't. Those are mistakes, but there are many more. **A mistake has NOTHING to do with whether you win or lose on the trade.** Some mistakes you may lose on, some you may win on. Mistake examples:

No trading plan. Trading during the **wrong market conditions**. Placing trades at the wrong time of day. Wrong **position size**. Expanding SL after entry. Exiting a trade before plan dictates. No pre-trade routine or not doing it. **Trading based on other's opinions**. Entering too early. Entering too late. Exiting late. Trading while **not in the correct emotional or physical state**. Not having or following pre-trade checklist. **Blaming others for mistakes**. Divided attention while trading.

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3. Chase your plan, not profits

Each action to trade or not to trade should be based on whether that choice aligns with our trading plan.

Good choices lead to good results; focusing on trying to make money doesn't.

The plan can always be changed, but not during trading...

Follow the plan while trading. Improve it outside of trading hours by reviewing performance and noting areas that could be improved. Then implement again.

Why?

If you can learn to follow a plan, when you eventually end up with a good strategy you'll be able to trade it...

The Trading Plan

Don't trade without it.

It's a written document outlining how you trade. **It includes:**

- Where, how, and why you **enter** trades.
- Where, how, and why you **exit** trades.
 - Stop loss, profit target, trailing stop loss, indicator, or another reason
- How you **control risk**
 - Position size
 - Daily/week/monthly loss limits
 - Max # of positions.
 - Max capital allowed in a single position.
 - Hold through major events, or exit before? (earnings, news releases, etc.)
 - Hold overnight, over the weekend, or exit before?
- How will you **find trades**? Scanner, Manual search, Same instrument every day, etc.
- The **markets you will trade**, and on what **time frame(s)**.
- "Context" or **Market Conditions**
 - Under what conditions are trades taken?
 - Trending, ranging, choppy, volatile, etc.? How is this determined?
 - Under what conditions can you exit a trade earlier than planned?
- A plan for **improvement**
 - Review sessions/trades. When, how?
 - Monitor and track mistakes. (mistake = anything not aligned with Trading Plan)
 - Regularly brainstorm how to improve on mistakes.
- Your **objectives and goals** for trading. This will affect things like:
 - Withdraw profits for income, or compound returns for longer-term growth?
 - Trade independently, for a firm, with a group, or as a business?
 - Keep a job, other income streams, or is trading going to be the sole income?
 - Work life balance – the hours you will trade, and when you can monitor positions.
 - If you have a massive win, or a massive loss, what will you do?
 - Will you listen to other people's input? Why or why not. Who?
 - How much will you save each month for a rainy day?
 - You pay taxes on trading income. How will you pay these? Plan, it can be a big bill.

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If you constantly make decisions on the fly & can't stick to a plan, no matter how good a strategy is, you won't have the skill set to follow it.

If I hired traders, I'd look at how well they follow their plan, not their P&L.

A sucky plan can be changed easily.

4. When NOT to trade is more important than when to trade

Even if someone traded several strategies, there are only so many opportunities where that strategy says GO!

The rest of the time is spent preparing, reviewing, making sure our mind is right...

The market provides INFINITE opportunities to mess up. You could literally hit buy and sell buttons every second (extreme), but even doing it a little more than you're supposed to can totally ruin a strategy.

Err on the side of trading less. Wait for really great setups...

Avoid the "Hmm, is that valid?" trades.

There is no perfect number of trades. It could be hundreds a day, it could be one a year for some people.

The perfect number of trades is the number of quality trades that match YOUR trading plan.

5. Context-Pattern-Trigger

In that order. Most people learn about chart patterns or trade setups, then start trading them all the time.

Context is even more critical (it tells us when to trade and when not to). In a ripping bull market, I may take an "ok" pattern...

because the context is so good. Things are flying, breaking out and running. (as soon as that changes, context has changed, beware).

But I would never trade a "perfect" pattern in flat or choppy conditions. There's no momentum, context is poor for making high-probability gains..

A Trigger is my exact entry signal. If the context is good, the pattern is good, the trigger is what says NOW is GO TIME.

But it too must be "good". I use tight stop losses close to my trigger. If the candles at my trigger are huge, that means my SL will be huge...

That may be ok if the reward of the trade justifies the risk (based on the asset's TYPICAL MOVEMENT), but if it doesn't, there is no trade. The risk/reward isn't there.

If the trigger allows for a small SL and a typically good R:R, its go time.

Understanding Reward/Risk in Trading

Reward relative to risk is FOUNDATIONAL to good trading. Reward/risk is the ratio of profit relative to risk on a trade, or over many trades. 3/1 means profit is 3x the risk taken. 2/1= 2x risk.

Reward/risk is created by controlling risk and profit taking. **With a higher reward/risk you can win less often and still be profitable.** With a lower reward/risk, you need to win more often.

2:1=profitable winning 40%+ of your trades.

3:1=profitable winning 30%+ of your trades.

5:1=profitable winning 20%+ of your trades.

10:1=profitable winning 10%+ of your trades.

DON'T JUST APPLY THE REWARD/RISK WE WANT TO TRADE. It's how the asset moves or our strategy (tested over many trades) that determines our reward/risk potential for the trade.

For example, someone sets a stop loss 10% below their entry. They opt to use a 3:1 and will take profit at 30%. This may work, but it isn't based on how the asset moves. A R:R has been plucked out of the air.

Instead, study how the asset typically moves, how far it runs before pulling back. Consider how long you want to be in the trade. Then decide what a reasonable profit is for the asset given this information.

The stock may only advance on average 15% before an extended sideways period or pullback. Your likely reward/risk is 15%/10%, or 1.5. The 30% target is unlikely to get hit unless you hold that trade for a long time.

That's how you differentiate great trades from poor/mediocre ones.



For several of my 1-minute chart forex day trading strategies, a 2.5/1 reward/risk works well. But may not work for other time frames or strategies.

When swing trading stocks, I only take trades if I can reasonably make 3x my risk, or more.

6. Develop STRUCTURES to support your trading

Routines that help deal with an issue or keep me on task are what I call Structures.

I have many of them, but you may need Structures around different areas of your trading than me. Each trader has different issues...

An example of a structure is a pre-trade routine. A specific protocol (for me) that gets me in the proper head space for trading.

I tend to over-trade, so my pre-trade is designed to "bring me down" and level me out, almost make me not want to trade anything. I need that....

Pre-Trade Routine

A pre-trade routine helps us follow our Daily Routine and our Trading Plan.

Don't trade without it. It only takes 5-10 minutes.

It's a written document outlining our routine when we sit down to trade.

It creates the proper headspace for trading, calms us, and improves performance (well-researched).

Do the pre-trade routine before every trading session. If you scan for trades (outside of trading hours), still do the routine to create the right midframe for spotting setups and placing orders.

Here is my pre-trade routine. Tweak and alter as needed.

- **2 minutes. Clear negativity.**
 - ◻ Do a "power pose." Arms above head like winning a race, pump arms, mimic winning. Reduces negative feelings. Increases testosterone. Watch Ted Talk – Amy Cuddy.
 - ◻ Can do this before you get to your desk. On the "throne" or making coffee, etc.
- **2 minutes. Trading Plan Review.**
 - ◻ Go over your basic setups and what market conditions are required for trading.
 - ◻ Draw out the setups you trade, or the indicators/metrics. Confirm these are the only patterns you trade. Keep the drawings next to you during the session.
- **2 minutes. Strategy visualization.**
 - ◻ Visualize every strategy in your trading plan that you may trade during the session.
 - ◻ Imagine wins and losses. See yourself not affected by either.
 - ◻ Be realistic. Imagine trades that are slow to move toward your target. Imagine trades with slippage. Rehearse what you do and your ideal emotional state.
- **2 minutes. Dominant trading theme (if applicable).**
 - ◻ A theme is what you're specifically working on and need to be reminded of. It can also be a fix to a problem.
 - ◻ Having an expectation of what "should" happen is a problem for me. I override this every day by writing down a few sentences about why I don't need expectations to trade well. Whatever comes to mind. Re-enforce the theme and try to remember it throughout the trading session. Themes may change every few days or weeks.
- **2 minutes. Parts Negotiation (if applicable).**
 - ◻ You should be feeling ready to trade. Calm, assertive, disciplined.
 - ◻ If not, note the part of yourself in protest. Negotiate with it to calm it.
- **Trading specific tasks:** check news, watchlists ready, charts and platform open, position size considered. These come last, so you're not distracted from the rest of the routine.

Someone else's pre-trade routine may need to lift them up, because they're so nervous about trading.

Another Structure I have is that if I get really distracted while trading, or someone comes into my office, I must do my pre-trade routine again before trading...

My focus has been broken, I'm in a different head space now, and I need to get back to "level" before placing a trade.

My pre-trade routine prepares me for following my plan.

Commentating the price action during the day keeps me focused on my plan...

My pre-trade checklists (usually checked off mentally), make sure the trades I take follow the plan.

My review sessions make sure I'm following all these protocols.

I have structures for how I "stalk trades" when swing trading, since a good setup may take days to trigger.

7. Trade to match your psychology

I don't have all those protocols above because I'm anal and love following orders. The exact opposite!

I have them because I'm impulsive, undisciplined, lazy, and want to gamble.

I have found a way to accept those things and say....

"Ok, not being impulsive (etc) will take many years of work...how do I deal with it in the meantime?"

I've been doing that 18 years. I have created structures that help me stay on task.

Why go through all the trouble? Because I don't want a real job! Seriously!...

My trading style is also adapted to my psychology. I'm impulsive, I want action. That's why I **CONSTANTLY** talk about everything I see on a chart.

I'm also chicken, I don't like holding through pullbacks, so my plan allows for trailing stops when I'm not confident.

8. Listen to people who talk about process

Overall I have lost a ton of money listening to others' trade ideas. I don't look at other people's trades, even if they use the same strategy as me.

I DO listen and learn from people who share information on PROCESSES...

Because I can always find ways to incorporate that information and use it to improve my own processes.

Here are great follows who focus on process:

@AlphaMind101

@jaredtendler

@ProfWendyWood— habits

@SJosephBurns

@TmarketL

If you enjoyed this, give me a follow
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on the website:

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